

Introduction to Economics for Sport Management

Introduction and Preliminaries

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About the course

- This is a sophisticated introduction to economics and finance for students like you!
- You will learn:
 - the most fundamental tools that economists use
 - how modern economic theory allows us to understand economic phenomena

Grading Policy

Final exam 100%

- There will be exercises posted on the webpage as well as solutions after I solve it in the class.

Prerequisites

- Very basic Algebra and Calculus

Course Goals

- Teach you main microeconomic concepts and how to use them to analyze real world problems.
- Key Economic Concepts such as Marginal Costs and Benefits, Opportunity Costs, Supply and Demand, Value of assets, Interest Rate, and many more.....

Some Important Points

- Advanced course:
 - Use and understanding of formal language, models and math
 - Interpretation and logic reasoning
 - Real world implications
- Steep learning curve and a toolkit for future course work.

Importance of Economic Systems



Today: Introduction and Some Basic Concepts

- Economics as a social science
- Methods and fields of study
- Basic concepts:
 - Normative versus positive analysis
 - Market Mechanism

Economics: Definition

- Economics is the study of how a society uses its limited resources to produce, trade and consume goods and services
- Limited budgets and time for consumers
- Limited ability to produce for producers

Economic Imperialism

A new era?

.... economists have been acting a lot like intellectual imperialists in the last decade or so. They have been using their tools ... to examine everything from politics to French wine vintages.

“The Future of Economics Isn’t So Dismal”

By DAVID LEONHARDT

Published: January 10, 2007

The New York Times

Microeconomics

- Studying individual decisions of economic units
 - Behavior of consumers: DEMAND
 - Production decisions of firms: SUPPLY
 - Interaction between agents in market environments (relevant for public policy, antitrust authorities, etc.)

Micro versus Macro

- Macroeconomics deals with aggregate economic quantities
 - Growth rate of GDP
 - Interest Rates
 - Unemployment

Themes of Microeconomics

- Studying individual decisions of economic units
- Workers, firms and consumers must make trade-offs:
 - How do consumers make choices?
 - How do we allocate organs to transplant patients?
 - Why are wages rising faster for the top 1% than the 99%?
- Models provide insight by providing basic structure

The Methodology

How? Construct theories in order to:

- Understand different forces in the economy
- Make predictions of what will happen if these forces change
- Improve on outcomes via changing institutions

The Methodology

Use data and rigorous statistical methods in order to validate a theory :

- Theories are tested and improved
- Theories are invariably imperfect – but give much insight into observed phenomena

Theories and Models

- Theories are expressed in the form of Economic Models.
 - An economic model is a description of an economic situation via words and mathematical expressions.
 - Often mathematical expressions are depicted with diagrams.

Economic Models: Description

A model usually consists of:

- Agents: their resources, objectives, preferences, how they behave, ...
- economic environment (markets, contractual arrangements, other relevant institutions)

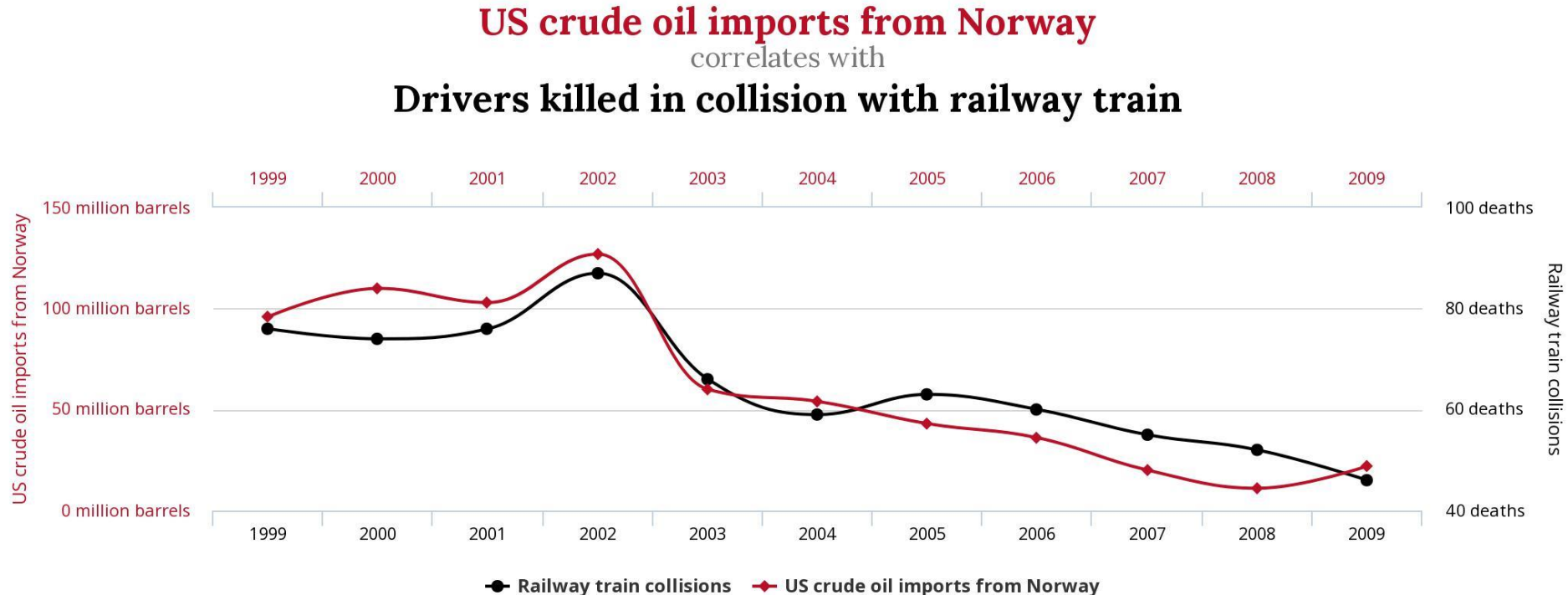
Some concepts:

Positive & Normative Analysis

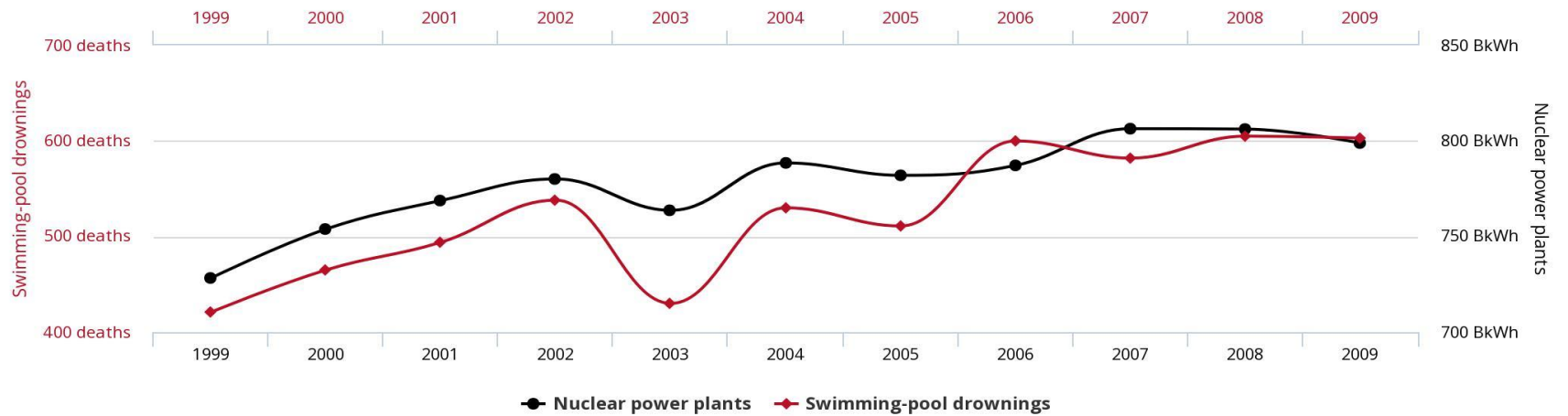
- **Positive Analysis** – statements that describe the relationship of cause and effect
 - Questions deal with explanation and prediction

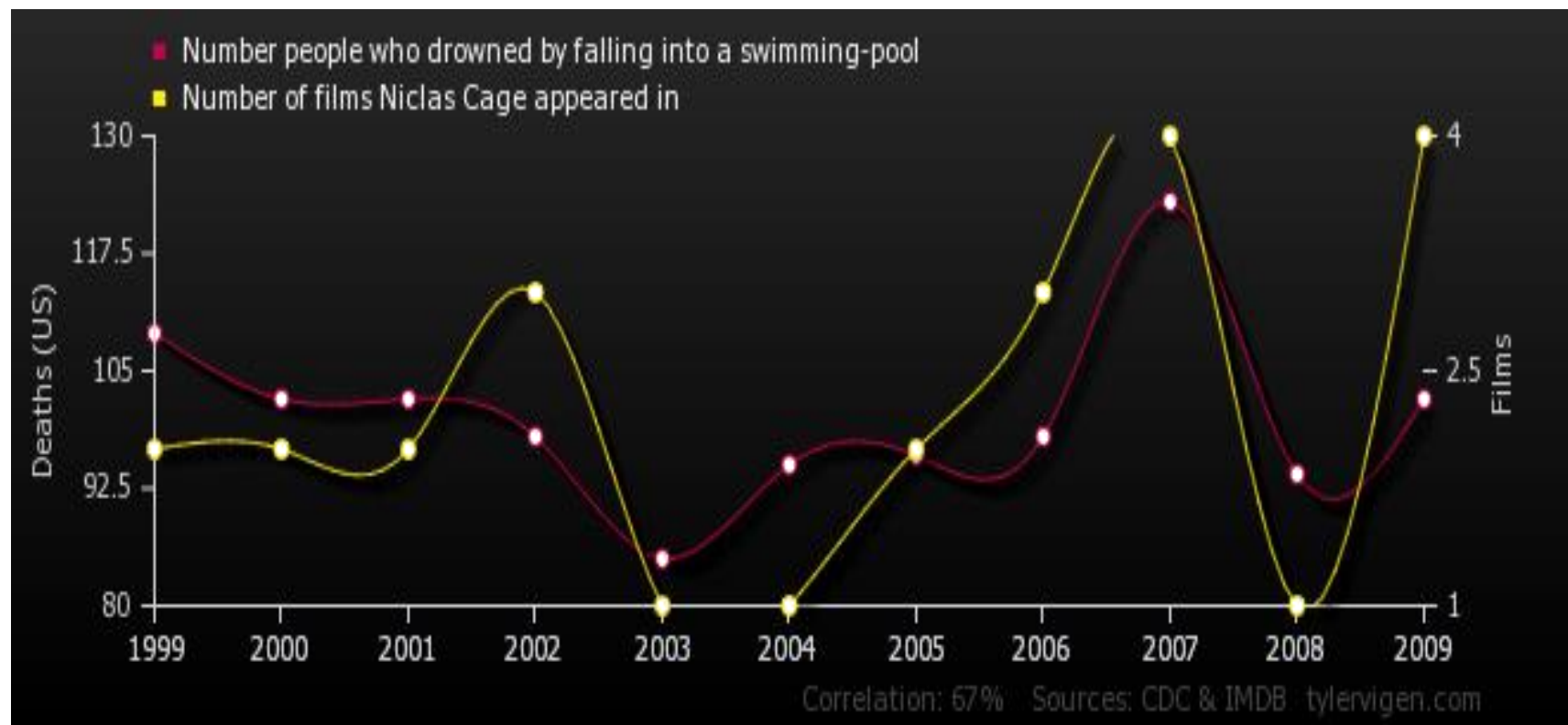
Causality versus Correlation

- You can find nice examples of spurious correlations, which mean absolutely nothing:
- <http://tylervigen.com/spurious-correlations>

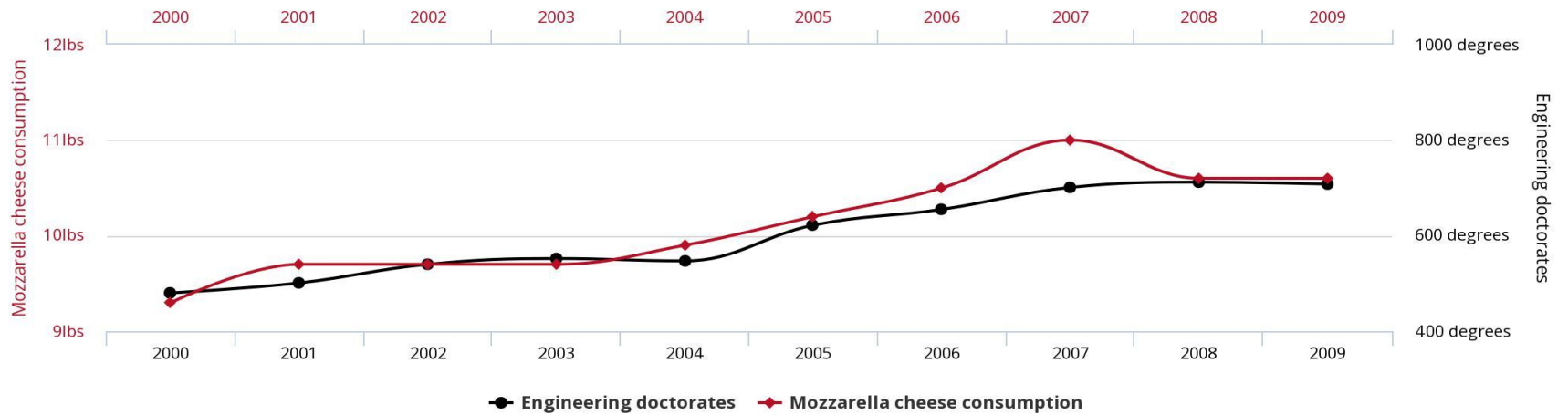


Number people who drowned while in a swimming-pool
correlates with
Power generated by US nuclear power plants





Per capita consumption of mozzarella cheese
correlates with
Civil engineering doctorates awarded



Positive & Normative Analysis (ctd)

- **Normative Analysis** - analysis examining questions of what ought to be
 - Typically supplemented by value judgments

Required Reading

- Microeconomics" edited by Pindyck, Robert S., and Daniel L. Rubinfeld